FROM THE

EDITOR-IN-CHIEF

The Narendra Modi government swept to power for a second term in May 2019 with 353 MPs, out of which the BJP had a majority on its own of 303 MPs, the highest ever tally for the party. Modi 2.0 hit the ground running with big bang events on the political front that gladdened his vote bank. Rendering Article 370 a dead letter, a mere motto of the BJP for long, was accomplished in August 2019. Later that year, the Supreme Court ruled in favour of constructing a Ram temple in Ayodhya. A month later, the controversial Citizenship (Amendment) Act was rolled out—it sparked massive protests in the streets and debates about political freedoms, but won his government brownie points with the BJP faithful.

Then, the pandemic intervened in March 2020. It was a black swan event that cast dark shadows all around. It shut economies worldwide and led to the most prolonged and inarguably the world's most stringent lockdown. That the livelihoods of millions in the informal economy were put at stake needed no further corroboration beyond the visuals of tens, maybe hundreds, of thousands, trudging back to their villages in an exodus that was the largest since Partition. The sheer enormity of the crisis—the deficits in India's health infrastructure in glaring public view over two summers—produced a sobering effect on the government. Unemployment rates linger in the grimmest zone in decades—objectively, in manufacturing, jobs had halved from 51 million in 2016-17 by last fiscal.



June 11, 2018

Even as the economy seemed to be on the road to recovery, in late February, Russia invaded Ukraine—in a war that's already in its fourth month, the largest land battle in Europe since WW-II, coming like a punch in the gut of the world that nearly flattened the global economy. It has resulted in crude oil prices peaking at $126.51 in March. Headline inflation threatened to breach 7.8 per cent—the worst during the whole Modi era. In that same cruel April, wholesale inflation surpassed projections to soar to 15.08 per cent, the highest since December 1998.

Read in this light, the trajectory followed by Modi 2.0 gives us a fascinating picture of a governance philosophy growing and maturing, of learning on the move, indeed a baptism by fire—with clear signs of a long-distance vision, something not often caught by his critics. The initial ineptness of handling the pandemic led to the world's largest vaccination drive. In just nine months, by October 2021, India had administered an astounding one billion doses, mostly free, from over 70,000 centres—as of the afternoon of May 25, 2022, that had touched over 1.9 billion, receiving accolades from across the world. Now the country stands well prepared for any new wave that may occur.

Through all that, a signature policy preference was taking shape. Already with GST in his first term, Modi had shown a willingness to bite the bullet to pursue long-term, structural gains. Covid-19 brought a crisis that had the world spooked; governments all over splurged on direct stimulus. The pressure to do the same was immense, but India took a different path. Modi sensed an opportunity in the crisis to infuse some solidity into the fundamentals. So, while a Rs 20 lakh crore stimulus package was announced, focusing on tax breaks for small businesses, Rs 1.7 lakh crore worth of free food grains went into amelioration of misery for the poor, and the focus stayed on capital expenditure, especially on infrastructure. Even though the three major farm laws that would have freed agriculture from state control backfired on the government, they continued undeterred on their reform path. Big-ticket privatisation got a push amid the melee: Air India first and now, LIC. After the Vajpayee government's half-hearted attempts to privatise some government-owned enterprises, Modi Government 2.0 laid down in right earnest a road map for asset monetisation, sale of PSUs and even of surplus government land. These are radical strategic long-term goals that will fortify the metabolism of the Indian economy. Also, all the technology and measures put in place in the first term came into full bloom in the second term, which meant delivering benefits to the poor without the customary leakages. Efficient welfarism has been the hallmark of the Modi regime. Similarly, the efforts to clean up the balance sheets with new financial system regulations have borne fruit in the second term.

I have always maintained that governing a large and diverse country like India, which is a raucous democracy, is the most challenging job in the world. Any assessment of the performance of Modi Government 2.0 will also have to take into account the unprecedented shocks it has had to tackle in the past three years. That is our prime objective this week, with the magazine's editorial team doing an exhaustive ministry-wise review that looks at what's done and zeroes in on the challenges ahead. Their broad findings are that while the pandemic blighted the progress of many ministries, there were those like finance, home, external affairs, transport, commerce, railways, health and defence that stepped up to the plate and performed well. All through, the prime minister kept a steady hand at the wheel, remained steadfast in his resolve, was willing to push ahead with economic reform and kept an eagle eye on the performance of ministers, intervening wherever necessary. Modi's ability to convert adversity into opportunity continues to evoke awe.

As for the fourth year in his second term, experts we spoke to advised the following: focus on implementation and delivery of the major initiatives; keep a keen watch on global events—including the ongoing Ukraine war—that have the potential to disrupt the country's best-laid plans; similarly, the growing sectarian tension needs to be controlled if we are not to be derailed. A country that lives in the past has no future. There are far more urgent problems to attend to than destroying old monuments. Experts predict that a global recession is around the corner. There are, however, opportunities for India as the world realigns itself. In fact, India is in a sweet spot to take advantage of this as many nations look at the country as a safe place to do business. Modi 2.0's biggest challenge is to put the economy on a sustained path of economic growth in the run-up to the general election in 2024. Nothing succeeds like widespread prosperity.



(Aroon Purie)